SHADOWFAX
Think ahead!

Shadowfax: Is low cost a moat?

Presentation 2

ENT 615 · IIT Bombay · Group 12
Param, Rishabh, Prakriti, Rehan and Ansh



Shadowfax helps businesses reach customers without building their own delivery network

The founding bet: businesses could access riders on demand, supported by dispatch technology



THE NEED

Changing demand makes fleet capacity hard to manage

Businesses need riders when orders arrive, including during peaks.

THE NETWORK

Shadowfax coordinates capacity through a shared network

Gig partners, dispatch technology, sorting hubs and transport connect businesses to customers.

THE IMPRACT

Businesses gain reach with less need to build their own operations.

Clients can outsource deliveries across different service needs.

Services that supports this promise

Forward delivery
Returns and doorstep QC
Hyperlocal and quick commerce

What Shadowfax enables for sellers, riders and customers

For a small seller, this means access without committing large shipment volumes. For a delivery partner, it offers a way to access a vehicle. For a shopper, it brings the return pickup to their doorstep.

Shadowfax learned the hard flow first, and that made express parcels its main engine

2015 On-demand enterprise delivery and Pickingo reverse-logistics assets

2017 Doorstep QC for e-commerce returns and Nuvo assets

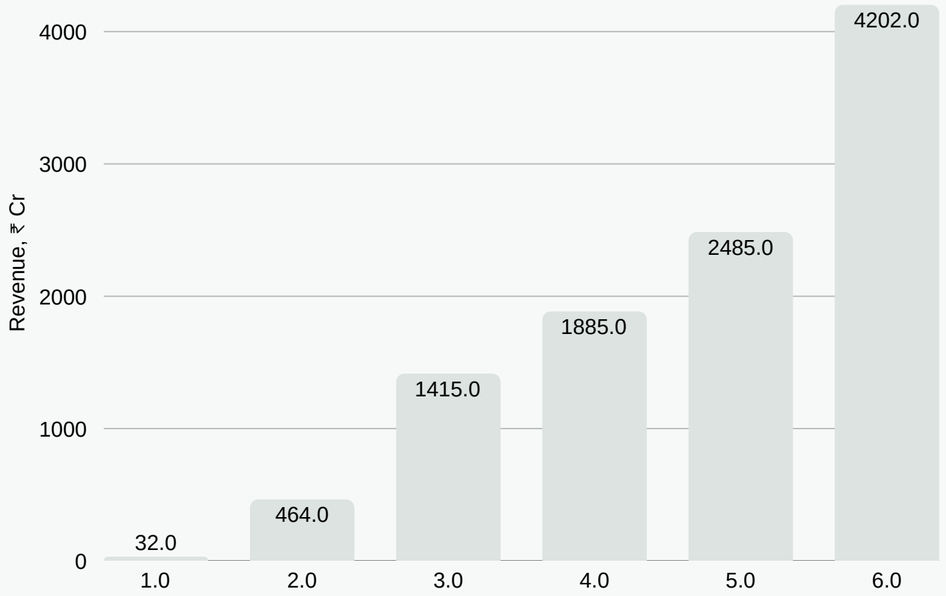
2018 Forward delivery for e-commerce and D2C

2022 Quick-commerce riders on the same app

2025 CriticaLog adds high-value logistics

Jan 2026 IPO on the exchanges

FY17 to FY26: 131x revenue in nine years



FY26 revenue

₹4,202 Cr

72.4%

from express: ₹3,041 Cr. Hyperlocal ₹792 Cr and other ₹369 Cr.

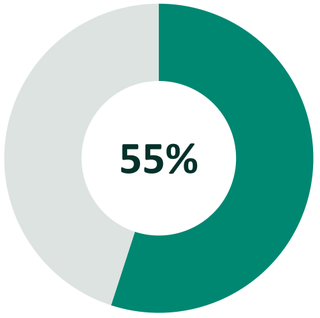
EDGE

Returns came first. Pickups with a quality check at the door are the hardest flow, so forward delivery was the easy step. The same QC skill is now the line that hurts: lost shipments and QC cost 7.1% of revenue, nearly twice the 3.8% margin.

The pivot opened a larger outsourced parcel opportunity, while hyperlocal remained a second growth engine

India's broader express market

Domestic custormer mix + FY25

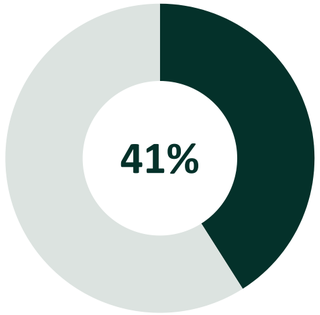


55% Consumer parcels

45% Business to business

$9B FY25, $18B -$22B projected by FY30

Who carries e-commerce parcels

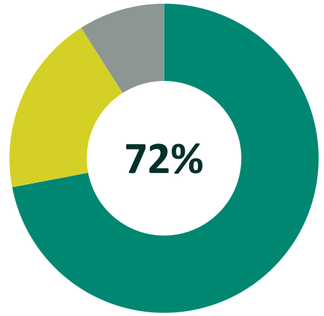


40 to 42% Outside carriers

58 to 60% Platform fleets

FY25 shipment share Captives can also outsource individual legs

Shadowfax revenue mix FY26



72% Express

19% Hyperlocal

9% Other

Parcels first, quick commerce second

Market forecast versus company performance

Express market forecast : FY25-30

12-15%

Shadowfax revenue growth: FY26

69%

Five Forces, our assessment

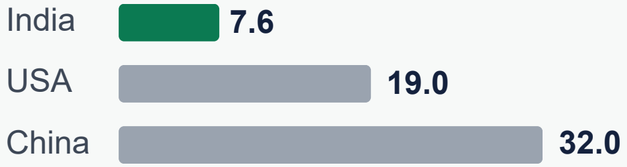
Buyers	HIGH	Platforms set allocations and run captive arms
Substitutes	HIGH	Valmo and Ekart are in-house alternatives
Rivalry	HIGH	Scaled carriers fight for outsourced parcels
Entry	MEDIUM	Coverage and execution take investment
Suppliers	MATERIAL	Rider and truck supply must stay dependable

Headroom is large but mostly captive; Shadowfax runs the B2C parcel chain and wins at the doorstep

PICK ANY TWO

✓ Fast ✓ Cheap ? Reliable

E-commerce as % of retail



40-42%
of e-commerce parcels went to 3PLs in FY26

8% → 27-29%
Shadowfax express share, FY22 → Q4 FY26

	First-mile pickup	Sort & line haul	Last-mile delivery	Reverse & doorstep QC	Same-day & 10-min	B2B freight & air
Shadowfax	●	●	●	●	●	○
Delhivery	◉	◉	◉	▫	▫	◉
Blue Dart	◉	◉	◉	▫	▫	◉
Shiprocket	▫	○	○	○	○	○
Captive fleets	◉	◉	◉	◉	▫	○

● Shadowfax core strength ◉ Core strength ▫ Offers it ○ Not offered

#1 3PL in reverse pickups, same-day and quick commerce (Redseer via RHP); core network out of B2B freight and air

Owned and automated under the roof, variable on the road: about 70% of cost moves with volume

First-mile pickup
From client warehouse

Origin sort
60 automated centres; OneNCR: 48,000 parcels/hr

Line haul
3,500+ trucks a day, all leased

Destination sort
Self-operated hubs

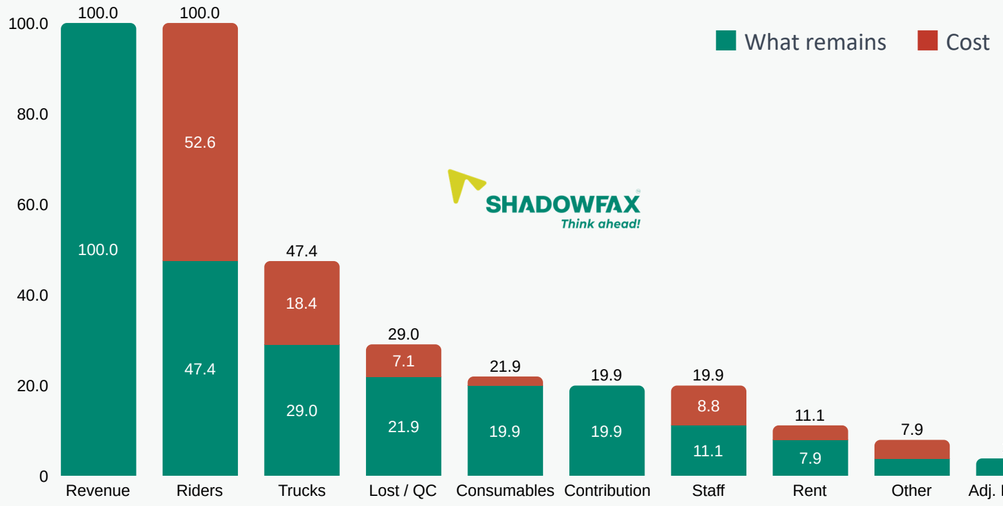
Last-mile hub
4,778 touchpoints; 47 L sq ft

Doorstep
2.31 L gig riders, paid per drop

Reverse, QC, COD
Returns and cash remitted to client

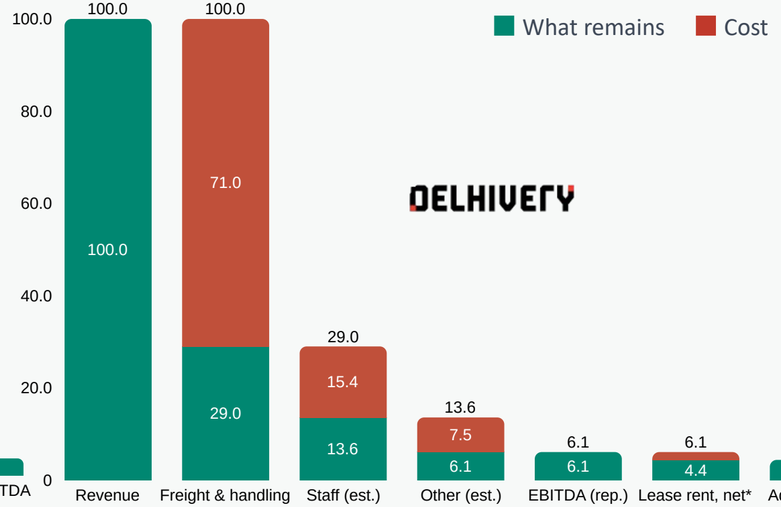
FY26, % of revenue - Shadowfax

100% = ₹57.9 per order



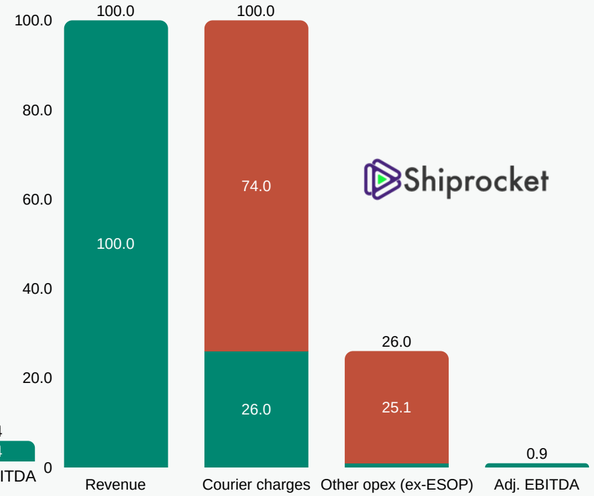
FY26, % of revenue - Delhivery

100% = ₹63.4 per express parcel



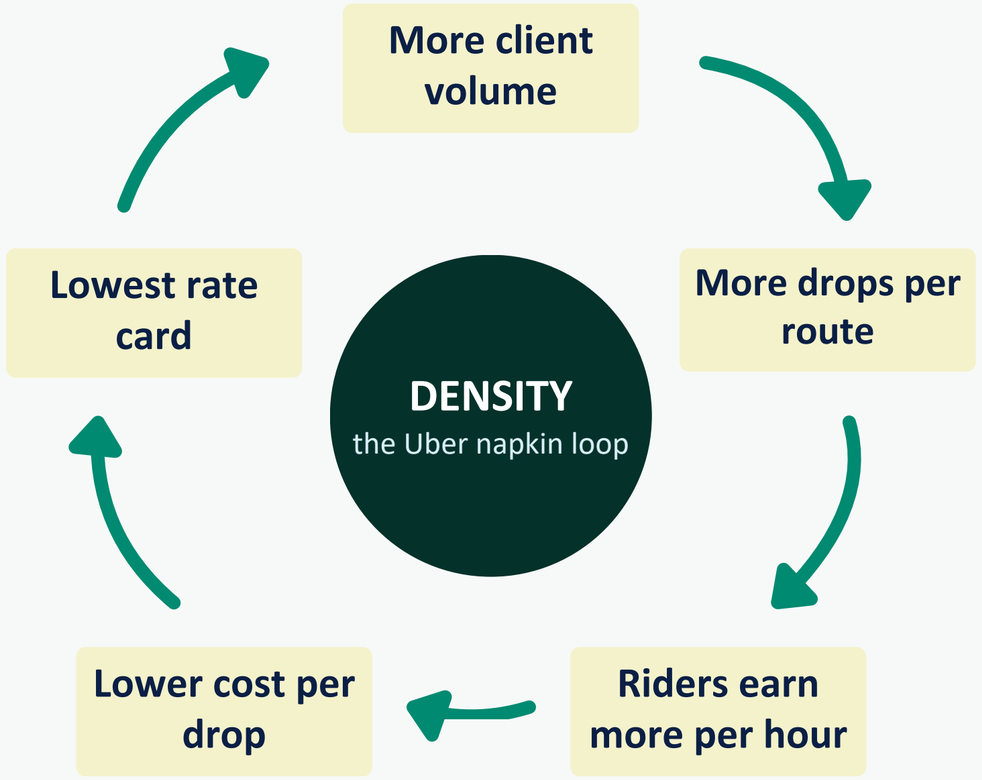
FY26, % of revenue - Shiprocket

100% = ₹100 per transaction

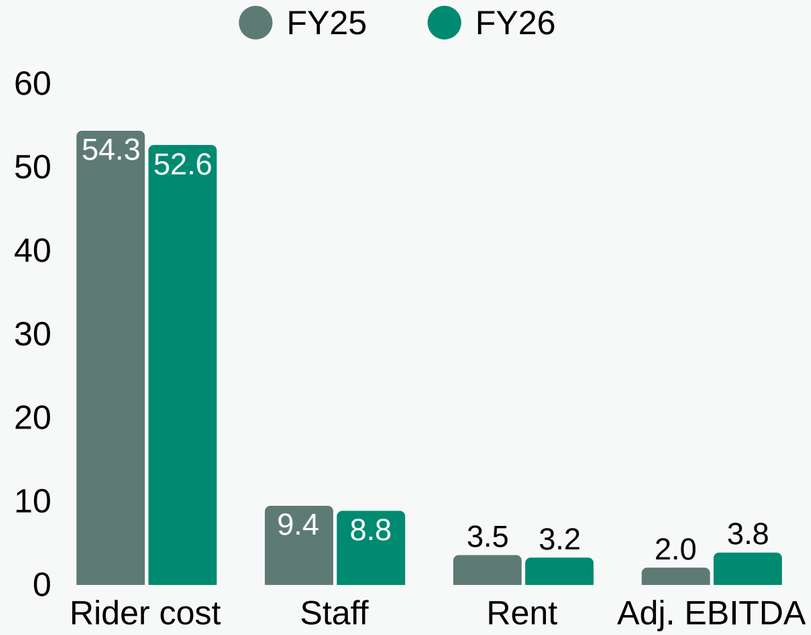


Riders + trucks = 71% of revenue and fully variable. Over the last three years 85% of capex went into sort centres and last-mile hubs.

Density is the flywheel: each extra parcel on a route lowers the cost of every drop



Operating leverage, % of revenue



Every cost line fell as a share of revenue when volume grew by 66%

Two network designs

Express = hub-and-spoke
60 sort centres feed 4,778 touchpoints.
Fewer, fuller trucks

Hyperlocal = point-to-point
Rider picks up and drops within 8-10 km.
No facility needed

Tailored value chain: what they do NOT do

- Own trucks
- Hire salaried riders
- Run B2B freight (PTL) or air
- Build a consumer brand

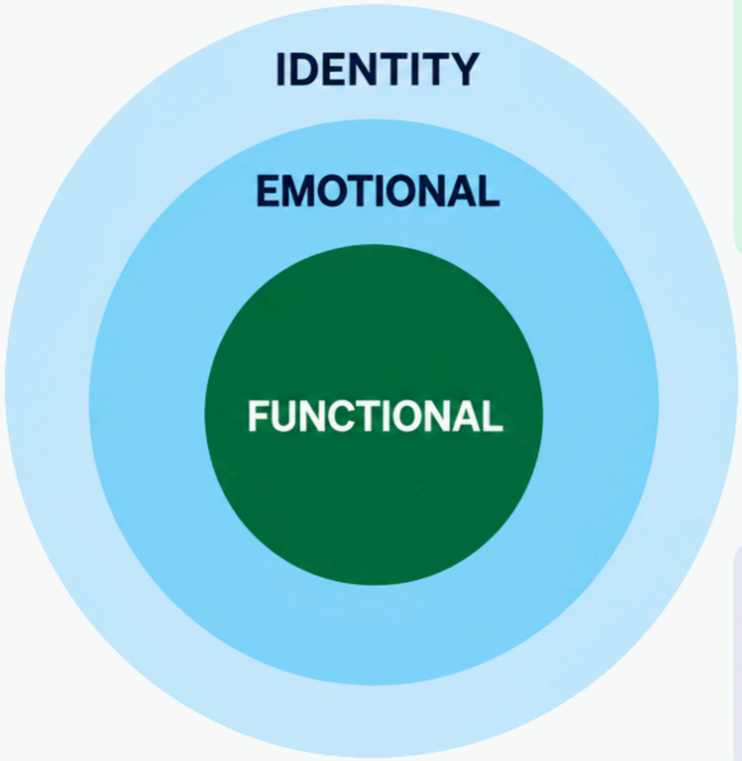
FY25 ₹1.1
EBITDA per order (2.0%)

FY26 ₹2.2
EBITDA per order (3.8%)

FY25 ₹1.1
EBITDA per order (2.0%)

The second customer is the rider: 2.31 lakh partners stay because one app gives them more drops per hour

What riders need



FUNCTIONAL

More drops per hour; one app across e-commerce, food and quick commerce; flexible slots and areas; clear earnings.

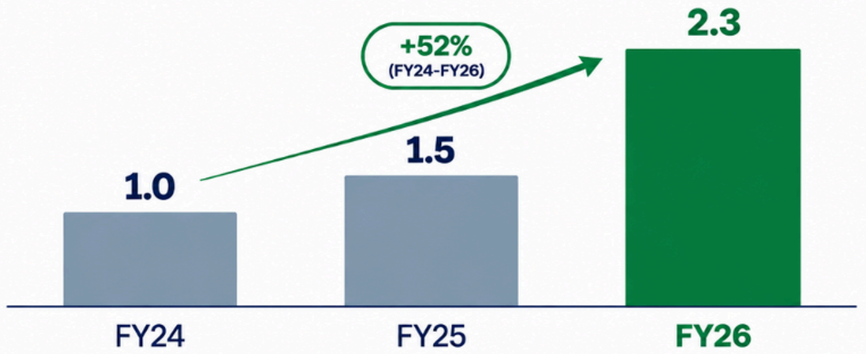
EMOTIONAL

Insurance, grievance resolution and tax support.

IDENTITY

A path to EV ownership through Shadowfax's EV leasing.

Active riders per quarter (lakh)



Rider economics (FY26)

₹2,209 Cr
paid to riders in FY26 (52.6% of revenue)

52.6%
of revenue paid to riders in FY26

₹30.4
rider payout per order, FY26

100%
of last-mile drops done by gig partners

Same metros, leaner network: over 3x more parcels per sq ft, but ~3,200 pin codes behind Delhivery



Shadowfax mega hub: OneNCR (up to 10 lakh parcels a day)

Delhivery mega gateways: Tauru (NCR), Bhiwandi and Lonad (Mumbai), Hoskote (Bengaluru)

Shadowfax as % of Delhivery, FY26

Delhivery = 100%

Pin codes — 15,656 vs 18,830



Parcels and orders — 72.6 Cr vs 105.4 Cr



Revenue — ₹4,202 Cr vs ₹10,486 Cr



Floor space — 47 L vs 229 L sq ft



Shiprocket reaches 19,000+ pin codes through 42 partner couriers but owns no hubs: a channel into both networks, not a rival network.

3.4x
parcels per sq ft of space: about 155 for Shadowfax vs 46 for Delhivery

~2 years
to close the gap at 120 to 150 new pin codes a month

~3,200
pin codes behind Delhivery (15,656 vs 18,830)

EDGE Shadowfax packs **3.4x** more parcels into each sq ft because it skips warehousing and freight. The top 10 metros earn 50 to 60% of revenue; the missing pin codes sit in a long tail earning only **11 to 20%**.

Same parcel market, yet different strategic bets !

	Lower cost	Differentiation
Broad	**Cost leadership** DELHIVERY end-to-end, every segment, scale economics	**Differentiation** BLUE DART premium air express, highest price
Narrow	**Cost focus** Shadowfax: lowest rate card for platform B2C parcels	**Differentiation focus** Criticalog A Shadowfax Company Applied Customisation™ CriticaLog (Shadowfax-owned): high-value, secure shipments

	SHADOWFAX Think ahead!	DELHIVERY
	LAST-MILE SPECIALIST	**INTEGRATED LOGISTICS**
Strategic centre of gravity	**Last-mile delivery, e-commerce fulfilment, reverse logistics and hyperlocal**	**A broader, integrated logistics platform: express parcels, PTL, FTL and supply chain**
How it competes	**Flexible delivery-partner capacity and last-mile execution**	**Network breadth, infrastructure and multi-service integration**
Where the proposition resonates	**High-volume platforms where delivery flexibility and cost matter**	**Shippers seeking a wider logistics partner across multiple transport needs**
Strategic emphasis	**Build density and productivity in the last-mile layer**	**Connect more of the logistics value chain through a scaled network**

EDGE

Shadowfax is not trying to win every logistics category; it is concentrating on the last-mile layer where flexibility and execution matter most.

Shadowfax's Edge is its speed-price combination with reliability as a test

Speed (same-day, 10-minute, reverse) → faster ↑



Price per parcel → higher

Game changers

- Same-day & Prime: #1 3PL
- Doorstep-QC returns: #1
- Quick-com riders: #1 3PL
- Lowest rate card at scale

What enterprise shippers rank highest ?

1. Reliability !
2. Cost per delivery ✓
3. Customisation ✓

Reliability ranks #1, yet lost-shipment and QC cost beats the margin (FY26, % of revenue)

Shadowfax's customer value proposition centers on **delivering speed**, **flexibility**, and **cost-efficiency** across the entire logistics chain through a **technology-driven**, **asset-light** 3PL (third-party logistics) and **crowdsourced network**

Shadowfax buys capabilities, not scale: three small tuck-ins in 11 years, and growth stays organic

2015
Pickingo Logixpress
Asset transfer

Bought reverse-logistics capability in year one, the door into e-commerce returns

2017
Nuvo Logistics
Asset transfer

Business assets folded into the network

Jan 2025
CriticaLog India
₹57 Cr total value

High-value, secure logistics (jewellery, luxury, electronics). 500+ customers. Now 100% owned

BUILD vs BUY

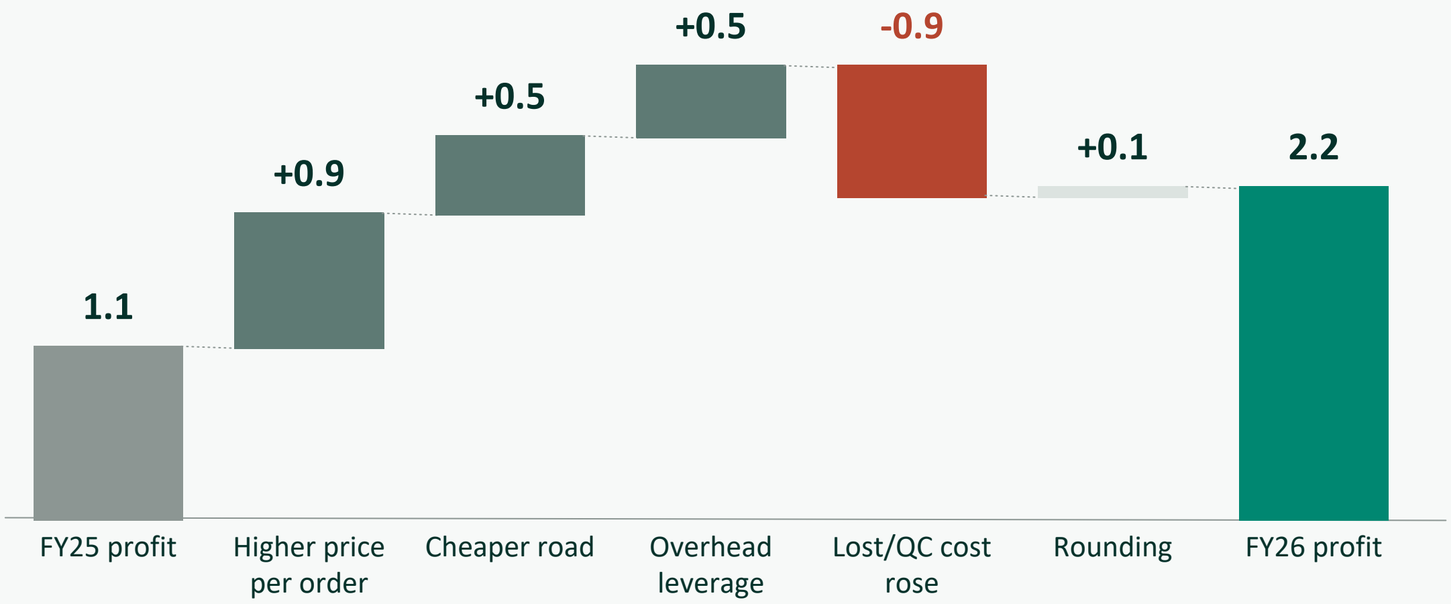
BUILT	Rider network, Frodo app, sort centres, same-day, quick commerce, dark stores
BUY	Reverse logistics (2015), high-value handling (2025)

What IPO allows next?

Up to ₹349 Cr of the fresh issue is for unnamed acquisitions and general purposes (GCP capped at 25%).
Board criteria: domain expertise, strategic fit, new customers, tech that plugs value-chain gaps, reach, share, management.
Expert's view: high-value, bulky and time-bound documents are the logical targets.

Profit per order doubled to ₹2.2, but only half came from the road: price and QC did the swinging

Adjusted EBITDA per order, ₹



₹ per order	FY25	FY26	Change
Revenue per order	57.0	57.9	+0.9
Road cost (riders and trucks)	41.6	41.1	-0.5
Contribution	**15.4**	**16.8**	**+1.4**
Lost shipments and QC	3.2	4.1	+0.9
Other overheads	11.0	10.5	-0.5
Adjusted EBITDA	**1.1**	**2.2**	**+1.1**

Q1 FY27 test: what moved the margin

Adjusted EBITDA margin

3.8% ➡ 4.9% **+1.1 pts**

Lost shipments and QC

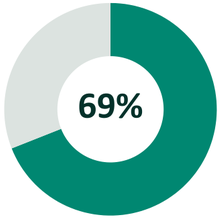
7.1% ➡ 5.5% **-1.6 pts**

EDGE

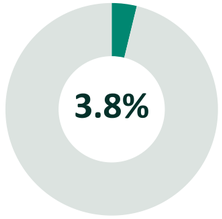
The QC fix (1.6 pts) is bigger than the whole margin gain (1.1 pts). So everything else got 0.5 pt worse. One point of lost/QC cost is worth about a quarter of today's margin. Service quality is the margin lever, not density.

FY26: lost/QC ₹4.1 an order against ₹2.2 of profit

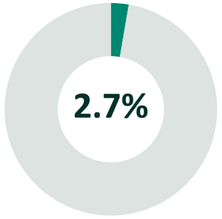
Shadowfax's ₹112 Cr profit is real but young: untaxed, helped by treasury income, and flattered by float



revenue growth



adjusted EBITDA margin (2.0% a year ago)

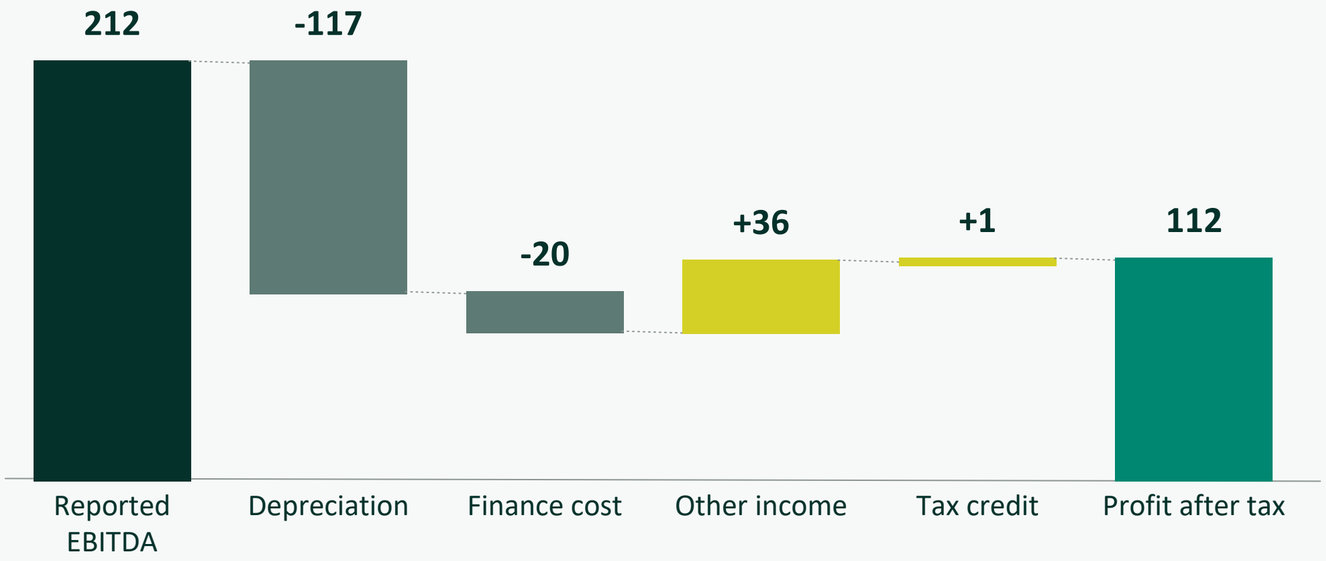


PAT margin (0.3% a year ago)



of revenue left after capex and leases

From EBITDA to profit after tax, FY26, ₹ Cr



EDGE

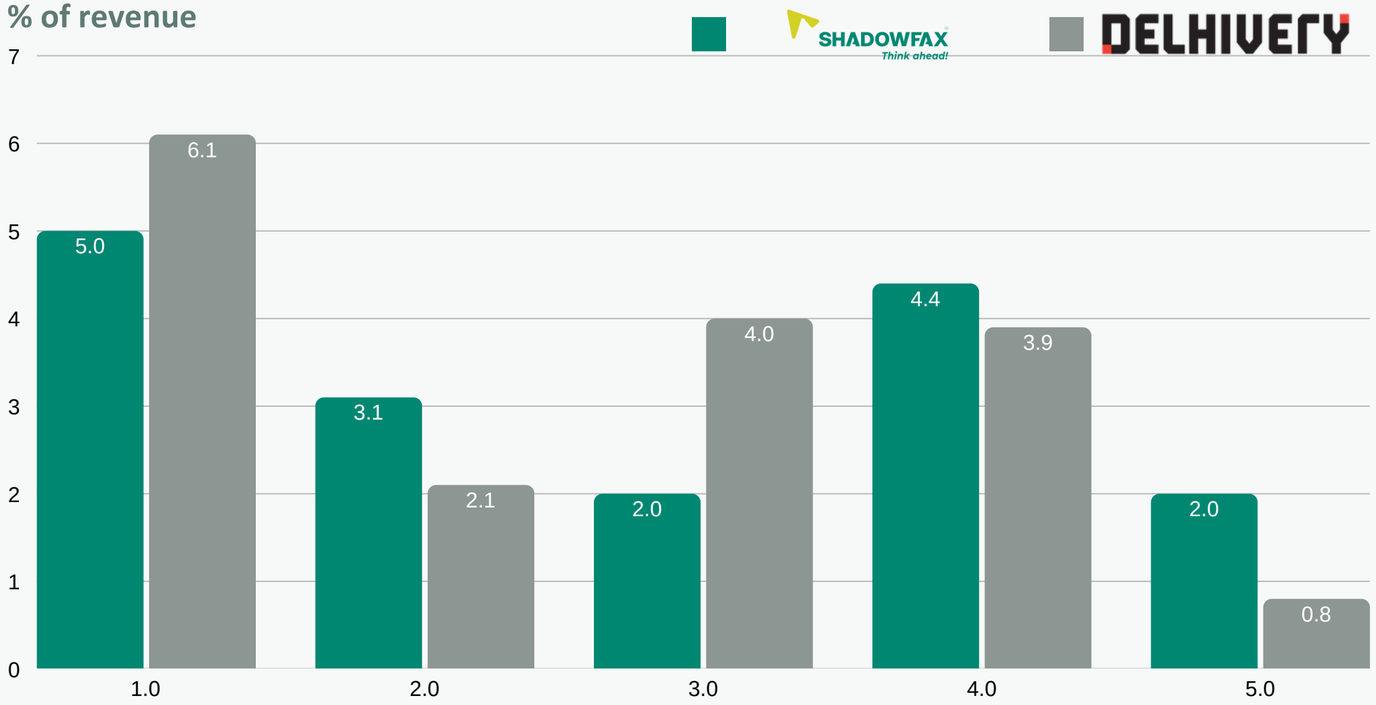
Strip out the ₹36 Cr of other income and charge a normal 25% tax, and FY26 profit is about ₹56 Cr, or 1.3% of revenue. The reported 2.7% is untaxed because of old losses, and IPO cash will lift other income next year.

EDGE

Operating cash flow of ₹350 Cr is far above EBITDA of ₹212 Cr because riders and vendors are paid after volume grows. About ₹138 Cr is working-capital inflow. Without it, cash after capex and leases would be about -₹55 Cr. Float depends on growth.

Delhivery wins the reported margin, but once leases are charged Shadowfax keeps more of each rupee

FY26, % of revenue



	Revenue growth	PAT margin
SHADOWFAX Think ahead! — Cheap, fast doorstep for big platforms	+69%	2.7%
DELHIVERY — End to end, plus freight. Ecom Express added July 2025	+17.6%	1.5%
BLUE DART — Premium air and B2B. Best margin, slowest growth	+8%	4.0%
Shiprocket — Software layer. Owns no network. A channel, not a carrier	+24%	-3.9%

EDGE

Delhivery pays ₹4.0 in lease cash per ₹100 of revenue, double Shadowfax's ₹2.0. Charge it, and Delhivery's 1.1-point EBITDA lead becomes a 1.0-point deficit. Shadowfax spends more on capex but still turns over twice as much revenue into cash after both.

Not like for like

Delhivery includes freight and Ecom Express. Adjusted: Shadowfax 3.8%, Delhivery 4.4% on its own add-backs. Blue Dart and Shiprocket are scale checks only.

The moat is a client contract: a 3.8% price cut from the top two would erase a year of profit

Two clients are 64% of revenue



Meesho alone was about 49% in H1 FY26

Both clients also run their own networks

Flipkart ekart

Captive arm and 7.3% shareholder. ₹494 Cr revenue in FY26 (11.8%)

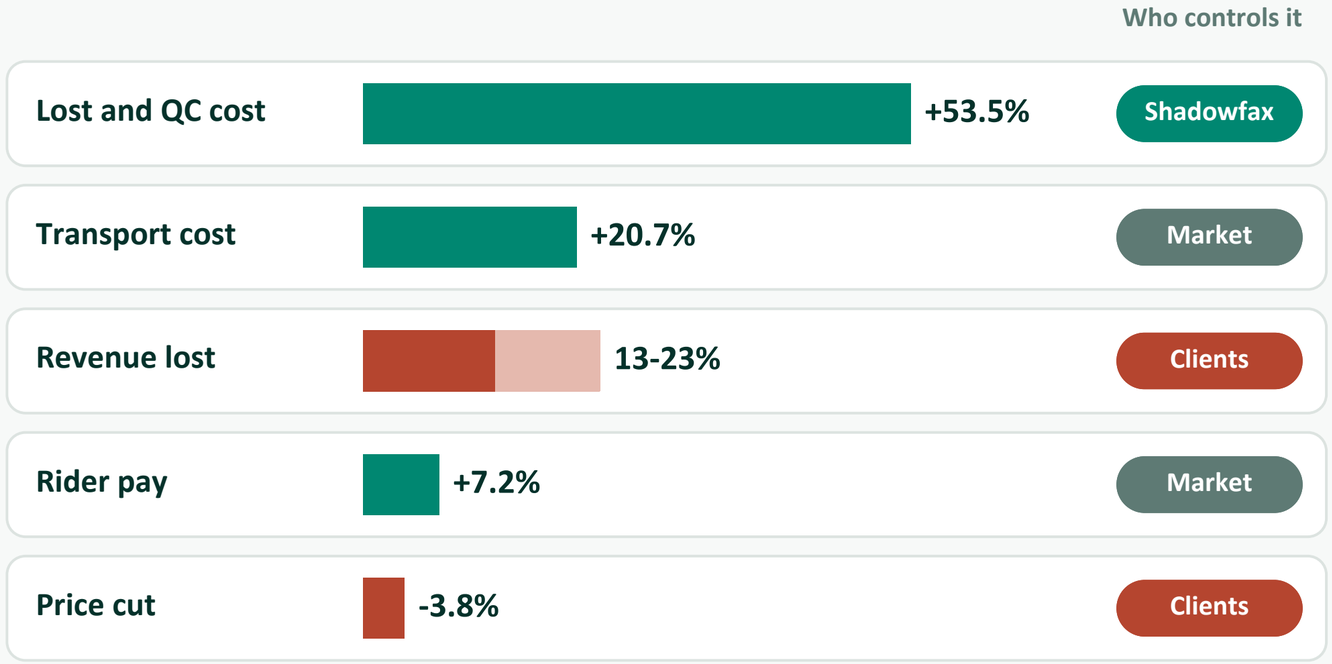
Meesho

Valmo

Meesho runs its own Valmo network

Labelled honestly: Ekart and Valmo are captive alternatives, but the FY26 report also shows Flipkart group as a paying client. Both are true.

One shock at a time needed to erase FY26 adjusted EBITDA (₹160 Cr)



EDGE

The two smallest shocks sit with clients and the market. The only big one Shadowfax owns is lost and QC cost, which is why the Q1 FY27 fix matters more than any new city.

If it were our company: keep the cost edge, buy diversification with route fit, and prove reliability

Strategy
Hard

Fill existing routes first, then add customers that fit

Structure
Hard

Commercial and network planning decide together

Systems
Hard

Split lost/QC by cause every month

Skills
Soft

Keep urban dispatch and QC sharp

Style
Soft

Monthly review with named owners

Staff
Soft

Treat riders as a second customer

Shared values — Cost per successful delivery, not cost per parcel

Who does what, and when ?

1. **Add customers that fit routes**
   Commercial head and network planning | Next planning cycle
   Evidence: Client share, route overlap

2. **Fix service leakage by cause**
   Operations head | Monthly
   Evidence: QC cost split from avoidable loss

3. **Expand EV rentals by cohort**
   Rider and EV leads | Before each cohort
   Evidence: Net hourly earnings, uptime

VERDICT A strong operator with a conditional moat

Strengthens if
Client dependence falls while service quality and cash after leases hold

Weakens if
Top-two share keeps rising or Lost/QC drifts back above 7%